

Indian Oil Corporation

IOC · Energy / Oil & Gas Refining

ROE

23.53%

ROCE

20.62%

Net Profit Margin

5.56%

D/E

0.72

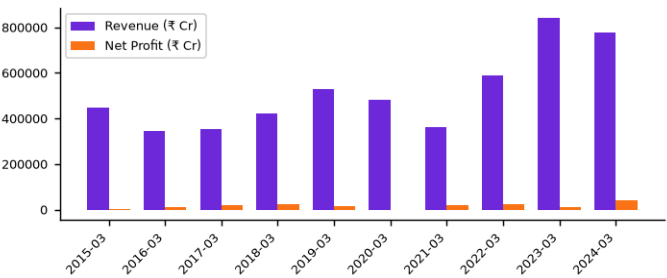
Revenue CAGR 5yr

8.01%

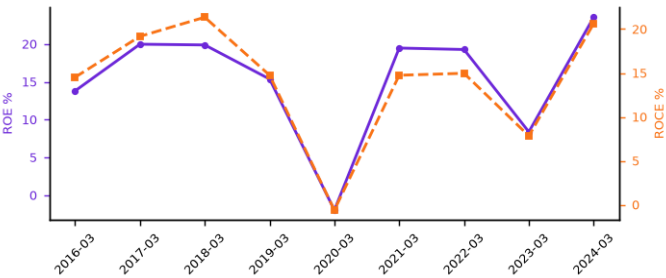
FCF (Rs. Cr)

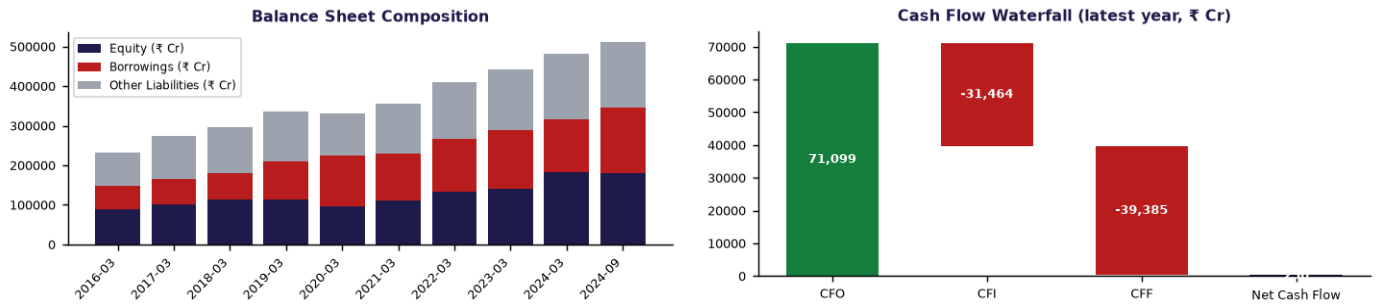
39,635

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (74% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (60% confidence)

Cons

- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (100% confidence)
- ✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss (81% confidence)

Capital Allocation Pattern: **Shareholder Returns**